

ACC501 Business Finance

Mid Term Examination – Spring 2006

Time Allowed: 90 Minutes

Please read the following instructions carefully before attempting any question:

- All questions are compulsory.
- This exam consists of **10** Multiple Choice Questions (MCQ's), **5** Fill in the Blanks, **5** Short Questions and **1** Descriptive Question.
- You should try to complete MCQ's in 10 - 15 minutes in order to avail 75 - 80 minutes for the descriptive questions.
- For each MCQ, read the choices available carefully and select the choice which you consider is the most suitable, by clicking on the appropriate circle.
- Save your answer before proceeding to the next question.
- Do not click the **“Finish button”** while solving your paper. Once you clicked the “Finish” button, you will not be able to access your paper again. *Click it only at the end after attempting the whole paper, which will be an indication that you have submitted your complete paper.*
- You are required to show all the working of short questions as well as descriptive question in your answers.
- The use of calculator and financial tables is allowed.
- A clock has been given in the exam software. Software will automatically be closed after **90 minutes**.
- It is your responsibility to manage time and responses to test questions effectively.

- Failure to comply with the supervisor's directions will result in your test being cancelled.
Please comply with supervisor's directions to avoid any unpleasant event.

Question No. 1

Marks : 1

The _____ ratio is the same as the _____ ratio except inventories and "other current assets" are dropped from the numerator.

Question No. 2

Marks : 1

The growth that can be financed without resorting to any external equity financing is called the _____

Question No. 3

Marks : 1

Financial institutions facilitate individuals and firms in:

- ★ Borrowing
- ★ Lending
- ★ pooling of risks
- ★ all of the given options

Question No. 4

Marks : 1

_____ are issued by state and local governments.

- ★ Treasury bonds
- ★ Municipal bonds
- ★ Corporate bonds
- ★ Personal bonds

Question No. 5

Marks : 1

You are expecting to receive Rs.5000 in 3 years. If the interest rate increases, the present value of that future amount to you would:

- ★ Fall
- ★ Rise
- ★ remain unchanged
- ★ cannot be determined without more information

Question No. 6

Marks : 1

_____ is *not* the function of the treasurer:

- ★ Preparation of financial statements
- ★ Investor relationships
- ★ Cash management
- ★ Obtaining finances

Question No. 7

Marks : 1

Sara is interested in purchasing Tom's factory. Since Sara is a poor negotiator, she hires Maria to negotiate a purchase price. Identify the parties to this transaction from the given options, according to agency theory:

- ★ Sara is the agent.
- ★ Maria is the principal.
- ★ Tom is the agent and Maria is the principal
- ★ Sara is the principal and Maria is the agent.

Question No. 8

Marks : 1

Purchasing new machinery for expanding production capacity by a corporation is

Question No. 9

Marks : 3

CVP Corporation has a policy of paying a \$10 per share dividend every year. This policy is to continue indefinitely. What is the value of a share of stock if the required rate of return is 20%?

Question No. 10

Marks : 1

A constant stream of cash flows for a limited number of years coming at regular intervals is called a (an)_____ .

Question No. 11

Marks : 1

_____ is *not* an advantage of separation of ownership and management of corporations.

- ★ Corporations can exist forever.
- ★ Facilitate transfer of ownership without affecting the operations of the firm
- ★ Hire professional managers
- ★ Incur agency costs

Question No. 12

Marks : 10

Mr. Martin has \$20,000 that he can deposit in savings accounts of any of three banks for a three year period. Bank A compounds on an annual basis; Bank B compounds interest twice each year; Bank C compounds interest each quarter. All three banks have a stated annual interest rate of 4%.

Required:

- a. What amount would Mr. Martin have at the end of 3rd year in each bank?
(Marks: 08)
- b. On the basis of your findings in part a, describe which bank should Mr. Martin deal with and why? (Marks: 02)

Question No. 13

Marks : 1

A firm is having difficulty in controlling its operating expenses. Which ratio category in given options will most directly reflect this problem?

- ★ Liquidity
- ★ Profitability
- ★ Market value
- ★ Turnover

Question No. 14

Marks : 1

A firm's investment decision is also called the:

- ★ financing decision
- ★ capital budgeting decision
- ★ liquidity decision
- ★ debt financing

Question No. 15

Marks : 3

Why would you prefer corporate form of organization over other forms of business organizations? Discuss giving at least three arguments.

Question No. 16

Marks : 3

What is an agency relationship? Describe the reason that results in agency problem.

Question No. 17

Marks : 1

Suppose a Corporation has a taxable income of Rs.50000 and the tax amount calculated is as given below:

Rs.30000	x 5%	= Rs.1500
(Rs.40000 – 30000)	x 10%	= 1000
(Rs.50000 – 40000)	x 15%	= 1500
		<u>Rs.4000</u>

Total tax amount is Rs.4000. Average tax rate is $\text{Rs.4000} / 50000 = 8.0\%$. Marginal tax rate will be:

- ★ 39%
- ★ 34%
- ★ 15%
- ★ 25%

Question No. 18

Marks : 3

What do you understand by seniority in a bond indenture?

Question No. 19

Marks : 3

What are the three factors that affect Return on Equity, according to Du Pont Identity?

Question No. 20

Marks : 1

In context of inflation and returns, the relationship between real and nominal returns is described by:

- ★ Fisher Effect
- ★ Ricardo Effect
- ★ Robbins Effect
- ★ Fredrick Effect

Question No. 21

Marks : 1

Debt securities issued by corporations are called _____.